

Growth Insight Report

What drives customer retention — and what to do about it

Mock Startup · Growth & Retention Analytics Team

Data source: public passenger dataset, reframed as a subscription-retention analog

Three questions the executive team needs answered

01

Does membership Tier drive Retention?

Premium vs Standard vs Basic

Chi-square test

02

Does customer Segment drive Retention?

Segment A vs Segment B behavior

Chi-square test

03

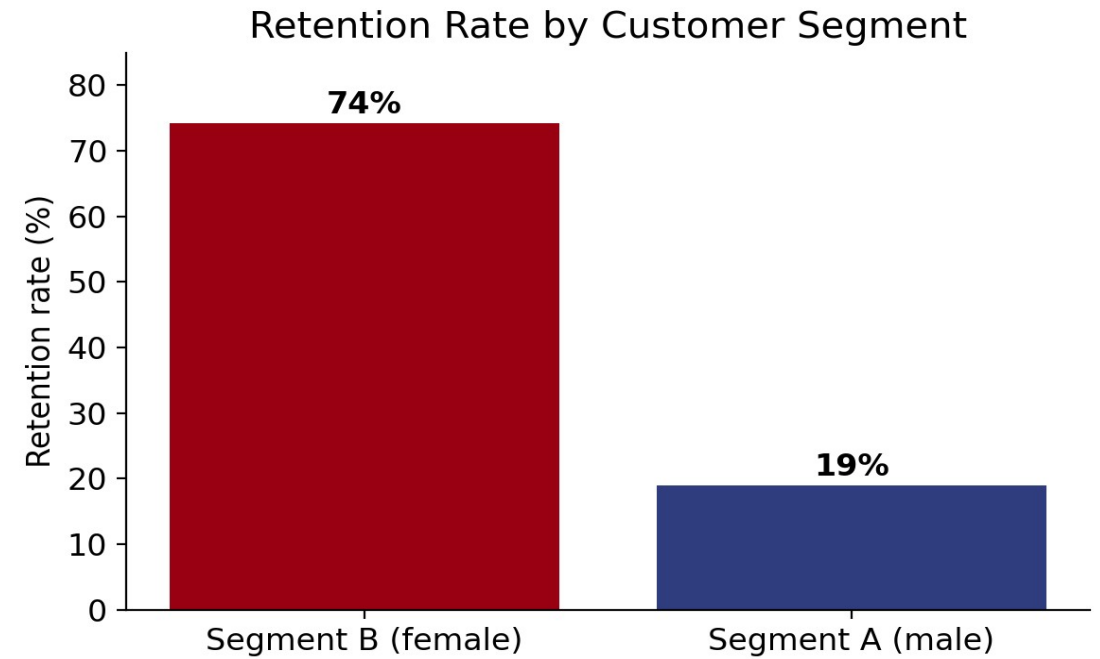
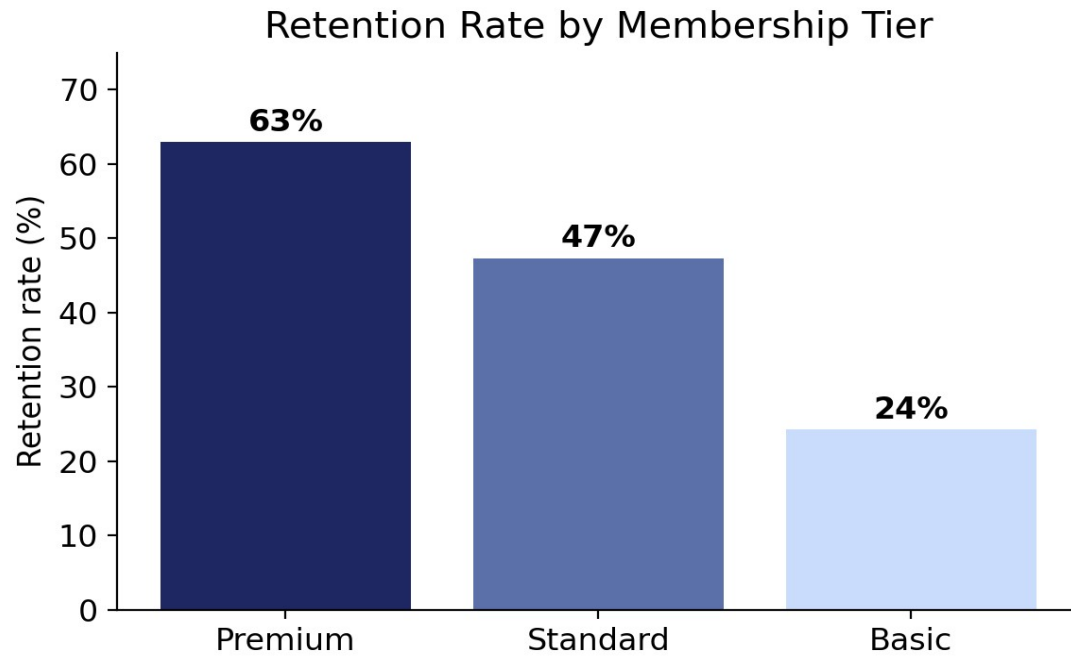
Does Spend predict Retention?

First-transaction spend as an early signal

Welch's t-test

Method: chi-square tests for categorical comparisons; Welch's t-test for the spend comparison. All results tested at 95% confidence ($p < 0.05$ = significant).

Tier and Segment both drive Retention sharply



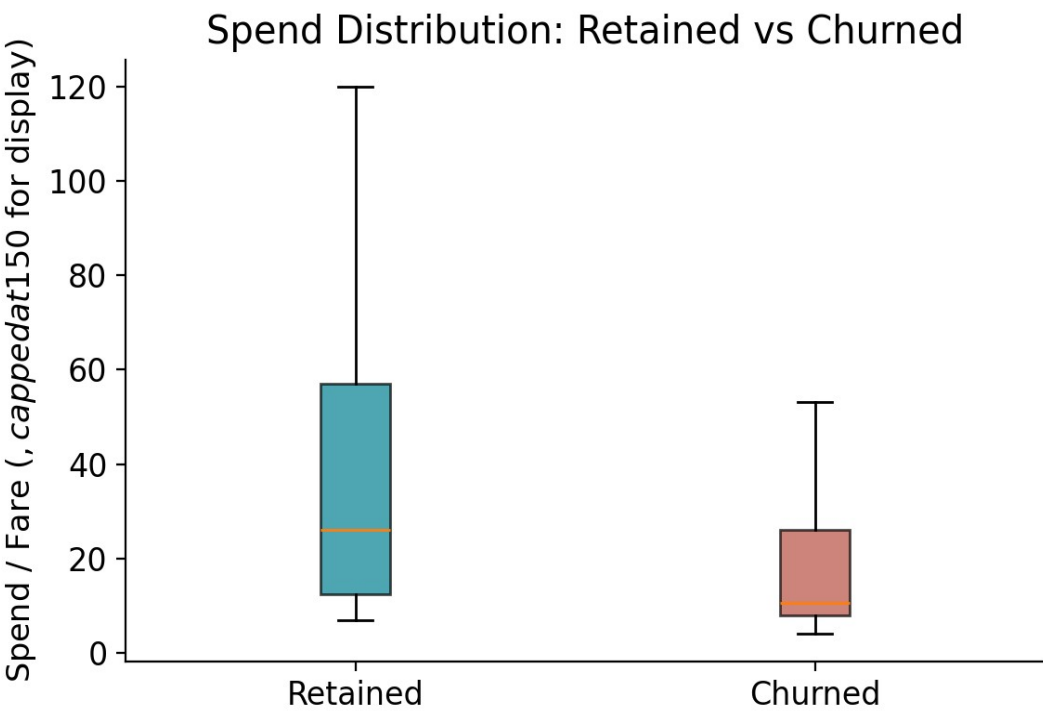
63% vs 24%

Premium vs Basic tier retention · $\chi^2=102.9$, $p<0.001$

74% vs 19%

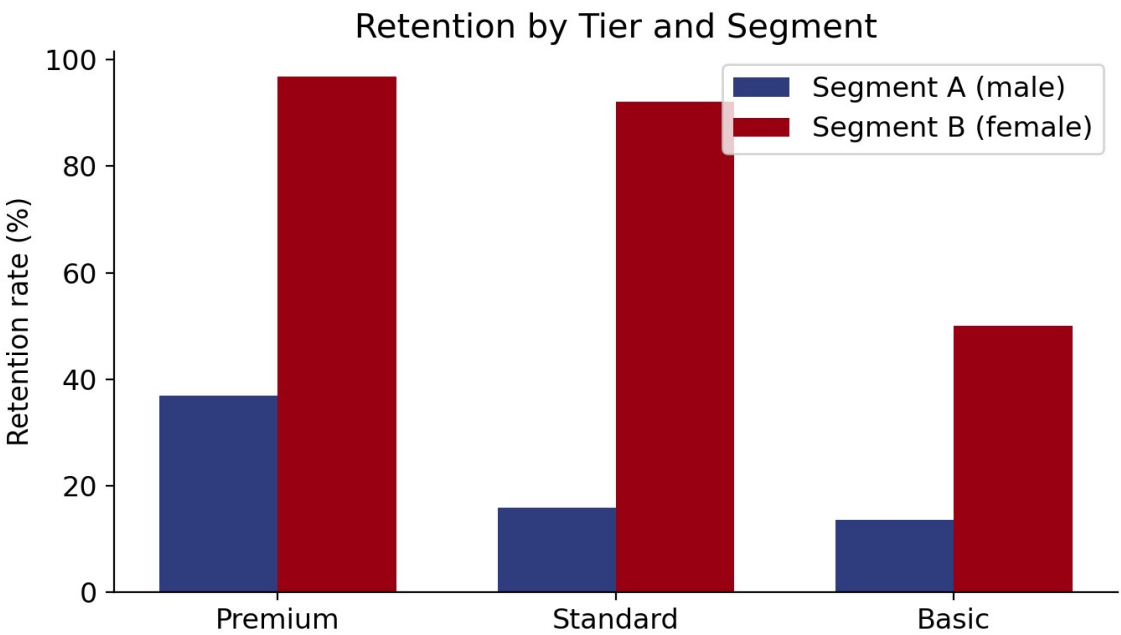
Segment B vs Segment A retention · $\chi^2=260.7$, $p<0.001$

Higher spend predicts retention — and the effect is independent



\$48 vs \$23

Average spend: retained vs churned customers · Welch's $t=6.64$, $p<0.001$



Read: tier, segment, and spend each move the needle independently — the segment gap holds up even within the same tier.

Recommendations

1

Grow the Premium tier

Build upsell paths that move Basic/Standard customers into Premium — it retains at 2.6x the base rate.

2

Investigate the Segment A gap

A 55-point retention gap can't be explained by tier alone. Run exit surveys and onboarding reviews focused on Segment A.

3

Use spend as an early-warning signal

Retained customers spend 2x more from the start. Add a spend-based risk score to the CRM to flag low-spend signups early.

Bottom line: retention isn't random — it's concentrated in Premium-tier, higher-spend, Segment B customers. Act on tier, segment, and spend as three distinct levers, not one.